

Investor Update — 193 + 231 Commack Rd

Commack, NY · Hildreth Real Estate Advisors · Issued: May 11, 2026

A NOTE FROM THE OPERATOR

Commack continues to run as a steady, cash-flowing asset. **~95% leased** across both buildings, with a tenant mix that's been remarkably durable — ETS Bagels, Atelier Nail Spa, Edible Arrangements, Kitchen & Bath Designs, Beer & Smoke Shop, the apartments, and the rest of the small-shop retail line.

Since acquisition we've completed a **multi-unit apartment renovation program** and a **full roof replacement** by A-1 Roofing & Siding — about **\$330K of capital invested** through the GL. Those projects are now wrapped up; the property is in good physical condition and operating on a steady cadence.

The next leg of value creation comes from two leases in flight:

- **ETS Bagels** — LOI accepted on renewal at **\$6,000/mo + full NNN** (up from \$5,364 base). Lease-out in progress; we expect execution in the next few weeks.
- **Atelier Nail Spa** — LOI out on renewal at **\$3,800/mo + full NNN** (up from \$3,028 base). Same CAM they pay today, base moving up.

Both step-ups are reflected in the stabilized proforma in the report. We've also penciled in a market assumption for **Unit 193-4/5** (currently vacant, 1,860 SF) at **\$3,500/mo + NNN** — a reasonable rent for the space based on the in-place tenants in the same building.

Guac Time — major near-term cash flow lift. Guac Time (Unit 193-8) is in a fixturation / free-rent period today, but converts to full rent on **September 1, 2026** at **\$5,500/mo base + ~\$864/mo NNN pro-rata** (5-year lease through 2/28/2031). That alone adds roughly **\$76K/yr to run-rate cash flow** starting this fall — a meaningful boost on top of the ETS Bagels and Atelier renewal step-ups.

What's left:

- Execute the **ETS Bagels** and **Atelier** renewals (in lease-out)
- Lease **Unit 193-4/5** at or near the market assumption
- Continue steady management — small repairs, leasing pipeline maintenance, NNN reconciliation at year-end
- TI / LC reserves will be triggered modestly upon renewal execution; no major capital program planned

Once stabilized — meaning both renewals executed and Unit 193-4/5 leased — we believe the property should support a **valuation in the \$10M – \$11M range** based on current Long Island commercial retail cap rates, with a corresponding step-up in equity value. The detail behind that range is in the report that follows.

— Jason

The valuation reflected in the attached report is an internal management estimate based on stabilized NOI and prevailing market cap rates as of the date issued. Actual market value will depend on capitalization rates, lender environment, tenant performance, and broader economic conditions at the time of any sale or refinance — all of which can change. Numbers are illustrative, not an appraisal or offer.

1. Current Rent Roll (2026-05-11)

Unit	Tenant	SF	Base Rent	CAM	Loaded (Scheduled)	Billable Now	Lease End	Status
193-Apt.A Back	Island Fish and Scale	400	\$1,854	—	\$1,854	\$1,854	2029-12-31	Current
193-Apt.Front	Lani Dudzinski	400	\$2,150	—	\$2,150	\$2,150	2026-05-18	Current
193-AptC	Sanjay Kumar Prajapati	400	\$1,750	—	\$1,750	\$1,750	2025-06-30	Current
193-AptD	Arabella Sara Vilorio - Ponce	400	\$1,600	—	\$1,600	\$1,600	2025-07-31	Current
193-Basement	Merry Go Round	740	\$450	—	\$450	\$450	—	Current
193-1	Euro Food Mart	1,500	\$3,455	\$1,228	\$4,683	\$4,683	2029-03-31	Current
193-2	Commack Shoe Repair	500	\$1,165	\$491	\$1,656	\$1,656	2027-11-30	Current
193-3	Nina's Herbal Spa & Salon	1,500	\$3,586	\$1,179	\$4,765	\$4,765	2027-07-31	Current
193-4/5	Vacant	1,860	—	—	—	—	—	VACANT
193-6	Homs Cleaners	1,500	\$3,069	\$1,179	\$4,248	\$4,248	2028-03-31	Current
193-7	Lucky 7 Laundromat	1,500	\$2,823	\$1,179	\$4,002	\$4,002	2033-03-31	Current
193-8	Guac Time	1,100	\$5,500	\$864	\$6,364	\$864	2031-02-28	Free Rent
193-9	Roman Aminov	1,500	\$2,484	\$1,179	\$3,663	\$3,663	2029-10-31	Current
193-10	Eyelash Studio	750	\$2,626	\$450	\$3,076	\$3,076	2029-08-31	Current
193-11	ETS Bagels, Inc.	2,250	\$5,364	\$1,637	\$7,001	\$7,001	2026-10-31	Current
193-12	Atelier Nail & Spa Inc.	1,500	\$3,028	\$1,179	\$4,207	\$4,207	2026-04-30	Current
193-13	Beer & Smoke Shop	3,000	\$4,776	\$2,358	\$7,134	\$7,134	2030-07-31	Current
231 - Basement	Island Fish And Scale	2,400	\$1,700	—	\$1,700	\$1,700	2029-12-31	Current
231 - 1	Edible Arrangements	1,500	\$4,333	\$1,236	\$5,570	\$5,570	2034-09-01	Current
231-2	Kitchen & Bath Designs	3,000	\$7,500	\$2,473	\$9,973	\$9,973	2030-02-28	Current
231-3	Xiao Hua Wagh	1,500	\$2,265	\$1,236	\$3,502	\$3,502	2027-10-01	Current

Unit	Tenant	SF	Base Rent	CAM	Loaded (Scheduled)	Billable Now	Lease End	Status
Total — 20 of 21 units leased		27,340 / 29,200	\$61,480	\$17,869	\$79,349	\$73,849	93.6% leased	

Combined rent roll for 193 + 231 Commack Rd. "Scheduled" = stabilized contractual base + CAM. "Billable Now" reflects any active free-rent / half-rent periods. **Note on 231 CAM:** Island Fish & Scale (basement) does not pay CAM per lease structure; the building still collects 100% of recoverable CAM at ~\$9.89/SF/yr, with their share redistributed pro-rata across the other three 231 tenants (Edible Arrangements, Kitchen & Bath Designs, Xiao Hua Wagh).

2. CapEx To Date

The property has had a steady cadence of capital spend since acquisition (June 2024 through early 2026), centered on a new roof and a multi-unit apartment renovation program. Spend is derived directly from the General Ledger.

Project	Category	GL Account	Status	Spent
Building Improvements — Roof Replacement (A-1 Roofing & Siding)	Building Improvement	1860	Completed	\$150,000
Apartment Renovations — Multiple Units	Unit Renovation	1620	Completed	\$169,743
CapEx through P&L (9xxx — special inspections, etc.)	Other	9xxx	Completed	\$11,684
Total CapEx Spent To Date				\$331,427

Primary vendors: A-1 Roofing and Siding (~\$150K), Hildreth Real Estate Advisors (construction management), Ramage Equities, Acorn Property Management, Comfort Tile & Design, Merritt Environmental (Phase I / ESA).

3. Remaining CapEx

No outstanding capital projects budgeted at this time. Future TI / LC reserves will be triggered by lease activity (e.g., Atelier and ETS Bagels renewals in pipeline).

4. Rent Roll — 1 Year Forward (May 2027)

Projected Monthly Loaded Rent (May 2027): \$79,985 vs. \$73,849 billable today (+\$6,136/mo)

Unit	Tenant	SF	Base Rent	CAM	Loaded	Status
193-Apt.A Back	Island Fish and Scale	400	\$1,854	—	\$1,854	occupied
193-Apt.Front	Lani Dudzinski	400	\$2,150	—	\$2,150	holdover
193-AptC	Sanjay Kumar Prajapati	400	\$1,750	—	\$1,750	holdover
193-AptD	Arabella Sara Vilorio - Ponce	400	\$1,600	—	\$1,600	holdover
193-Basement	Merry Go Round	740	\$450	—	\$450	occupied
193-1	Euro Food Mart	1,500	\$3,455	\$1,228	\$4,683	occupied
193-2	Commack Shoe Repair	500	\$1,165	\$491	\$1,656	occupied
193-3	Nina's Herbal Spa & Salon	1,500	\$3,586	\$1,179	\$4,765	occupied
193-4/5	<i>Vacant</i>	1,860	—	—	—	vacant
193-6	Homs Cleaners	1,500	\$3,069	\$1,179	\$4,248	occupied
193-7	Lucky 7 Laundromat	1,500	\$2,823	\$1,179	\$4,002	occupied
193-8	Guac Time	1,100	\$5,500	\$864	\$6,364	occupied
193-9	Roman Aminov	1,500	\$2,484	\$1,179	\$3,663	occupied
193-10	Eyelash Studio	750	\$2,626	\$450	\$3,076	occupied
193-11	ETS Bagels, Inc. [ETS Bagels, Inc.]	2,250	\$6,000	\$1,637	\$7,637	LOI Accepted
193-12	Atelier Nail & Spa Inc.	1,500	\$3,028	\$1,179	\$4,207	holdover
193-13	Beer & Smoke Shop	3,000	\$4,776	\$2,358	\$7,134	occupied
231 - Basement	Island Fish And Scale	2,400	\$1,700	—	\$1,700	occupied
231 - 1	Edible Arrangements	1,500	\$4,333	\$1,236	\$5,570	occupied
231-2	Kitchen & Bath Designs	3,000	\$7,500	\$2,473	\$9,973	occupied
231-3	Xiao Hua Wagh	1,500	\$2,265	\$1,236	\$3,502	occupied
Forward Total — 20 of 21 units leased		27,340 / 29,200			\$79,985	93.6% leased

5. Proforma — Fully Occupied (Stabilized)

Assumes every unit is leased at its stabilized contract rent (or, for vacant units, at the in-flight prospect rent). No free-rent or half-rent discounts.

Unit	Tenant	SF	Stabilized Rent	CAM	Loaded	Source
193-Apt.A Back	Island Fish and Scale	400	\$1,854	—	\$1,854	In Place
193-Apt.Front	Lani Dudzinski	400	\$2,150	—	\$2,150	In Place
193-AptC	Sanjay Kumar Prajapati	400	\$1,750	—	\$1,750	In Place
193-AptD	Arabella Sara Vilorio - Ponce	400	\$1,600	—	\$1,600	In Place
193-Basement	Merry Go Round	740	\$450	—	\$450	In Place
193-1	Euro Food Mart	1,500	\$3,455	\$1,228	\$4,683	In Place
193-2	Commack Shoe Repair	500	\$1,165	\$491	\$1,656	In Place
193-3	Nina's Herbal Spa & Salon	1,500	\$3,586	\$1,179	\$4,765	In Place
193-4/5	TBD	1,860	\$3,500	\$1,462	\$4,962	Stabilized Assumption
193-6	Homs Cleaners	1,500	\$3,069	\$1,179	\$4,248	In Place
193-7	Lucky 7 Laundromat	1,500	\$2,823	\$1,179	\$4,002	In Place
193-8	Guac Time	1,100	\$5,500	\$864	\$6,364	In Place
193-9	Roman Aminov	1,500	\$2,484	\$1,179	\$3,663	In Place
193-10	Eyelash Studio	750	\$2,626	\$450	\$3,076	In Place
193-11	ETS Bagels, Inc.	2,250	\$6,000	\$1,637	\$7,637	Negotiating Renewal
193-12	Atelier Nail & Spa Inc.	1,500	\$3,800	\$1,179	\$4,979	Negotiating Renewal
193-13	Beer & Smoke Shop	3,000	\$4,776	\$2,358	\$7,134	In Place
231 - Basement	Island Fish And Scale	2,400	\$1,700	—	\$1,700	In Place
231 - 1	Edible Arrangements	1,500	\$4,333	\$1,236	\$5,570	In Place
231-2	Kitchen & Bath Designs	3,000	\$7,500	\$2,473	\$9,973	In Place
231-3	Xiao Hua Wagh	1,500	\$2,265	\$1,236	\$3,502	In Place
Stabilized Total		29,200	\$66,388	\$19,331	\$85,719	

Stabilized NOI

Stabilized Revenue	\$1,028,624
Stabilized Operating Expenses	(\$275,201)
Stabilized NOI	\$753,423

Valuation Range

Cap Rate	Valuation	Per SF
6.5% (Low Cap → High Value)	\$11,591,118	\$397
7.0% (Mid)	\$10,763,181	\$369
7.5% (High Cap → Low Value)	\$10,045,635	\$344

Total Equity Invested To Date

Land	\$1,177,500
Buildings	\$6,672,500
Closing Costs & Holdbacks	\$286,184
Subtotal — Acquisition Basis	\$8,136,184
CapEx Invested (1xxx fixed-asset + 9xxx P&L)	\$331,427
Total All-In Project Basis	\$8,467,611
Less: 1st Mortgage Outstanding	(\$5,300,322)
Total Equity Invested To Date	\$3,167,289

Closing Costs & Holdbacks combines acquisition closing costs, mortgage / refinance closing fees, and due-diligence holdbacks.

Implied Equity & Return on Investment

Valuation @ 7.0% (Mid)	\$10,763,181
Less: 1st Mortgage Principal	(\$5,300,322)
Implied Equity Value (Today)	\$5,462,858
Plus: Cash Distributions Paid To Investors (To Date)	\$155,506
Less: Total Equity Invested To Date	(\$3,167,289)
Total Equity at Stabilization	\$3,167,289
Unrealized Gain + Distributions vs. All-In	\$2,451,075
Equity Multiple at Stabilization (Mid)	1.77x

Distributions paid to date: \$155,506 (by year — 2025: \$118,573, 2026: \$36,933). Source: GL account 3250 — Owner Distribution.

Multiple Calculations (PE/RE Standard Metrics)

Multiple	Value	Definition
DPI — Distributions / Paid-In	0.05x	Cash already returned to investors per \$1 contributed
RVPI — Residual Value / Paid-In	1.72x	Unrealized equity value per \$1 contributed
TVPI (MOIC) — Total Value / Paid-In	1.77x	Total value (distributions + residual) per \$1 contributed

Cap rate range reflects current Long Island commercial retail market (6.5% – 7.5%). Lower cap rate = higher valuation. Stabilized opex excludes \$83,279 of one-time addbacks where applicable.

6. T-12 Cash Flow Statement (Apr 2025 – Mar 2026)

Month	Revenue	Operating Expenses	NOI	CapEx	Debt Service	Net Cash Flow
Apr 2025	\$78,918	(\$23,518)	\$55,400	(—)	(\$31,062)	\$24,338
May 2025	\$76,904	(\$75,558)	\$1,346	(—)	(\$33,253)	\$-31,906
Jun 2025	\$74,862	(\$21,349)	\$53,513	(—)	(\$34,361)	\$19,152
Jul 2025	\$70,122	(\$12,755)	\$57,368	(\$653)	(\$33,253)	\$23,462
Aug 2025	\$74,626	(\$19,527)	\$55,100	(—)	(\$24,881)	\$30,218
Sep 2025	\$70,723	(\$10,158)	\$60,566	(—)	(\$24,881)	\$35,684
Oct 2025	\$72,359	(\$11,219)	\$61,140	(—)	(\$49,569)	\$11,571
Nov 2025	\$65,463	(\$6,093)	\$59,370	(—)	(\$33,244)	\$26,126
Dec 2025	\$80,913	(\$88,519)	\$-7,606	(—)	(\$33,637)	\$-41,243
Jan 2026	\$72,521	(\$25,783)	\$46,738	(\$2,000)	(\$33,244)	\$11,494
Feb 2026	\$64,584	(\$17,973)	\$46,610	(\$761)	(\$33,244)	\$12,605
Mar 2026	\$71,166	(\$10,645)	\$60,521	(—)	(\$30,963)	\$29,558
T-12 Total	\$873,161	(\$323,096)	\$550,065	(\$3,414)	(\$395,591)	\$151,060

Cash-basis as recorded in the General Ledger. **Revenue** includes base rent + CAM + reimbursements. **Net Cash Flow** = NOI – CapEx – Debt Service and represents cash available to investors before distributions / reserves.